



Risk Disclosure (Version 1.0 – November 2025)

This **Risk Disclosure** should be read together with the **Blue Cube (Malta) Limited's ("Blockchain") Terms of Service** (the, "Terms"). Unless otherwise defined herein, all capitalised terms have the meanings assigned in the Terms.

This document is intended to help you understand the material **risks, compliance requirements, and regulatory protections** that apply when you use the services of Blue Cube (Malta) Limited ("Blockchain", "Our", or "the Company").

1. ABOUT BLOCKCHAIN

Blockchain is a company incorporated in Malta, with registered office at 171, Old Bakery Street Valletta MALTA VLT 1455, and is **authorised and regulated by the Malta Financial Services Authority (the, "MFSA")** as a **Crypto-Asset Service Provider (the, "CASP")** under **Regulation (EU) 2023/1114 on Markets in Crypto-Assets (the, "MiCA")**.

Our authorisation permits us to provide the following crypto-asset services:

1. **Execution of orders for crypto assets on behalf of clients**
2. **Reception and transmission of orders for crypto assets on behalf of clients**
3. **Custody and administration of crypto assets on behalf of clients**
4. **Transfer services for crypto assets on behalf of clients**
5. **Placing of crypto assets**

We are committed to operating a compliant, secure, and transparent platform that supports the protection of our clients and the integrity of the crypto-asset market.

2. PURPOSE OF THIS DISCLOSURE

This disclosure outlines:

- The **key risks** associated with crypto-asset trading, holding, and custody.
- Our **regulatory and compliance obligations** under MiCA, MFSA Rules, and other applicable legislation.
- How we **protect your assets and manage conflicts of interest**.

It is provided in accordance with **MiCA Articles 64–77**, which require that clients receive clear, fair, and not misleading information about risks and protections.

3. NATURE OF OUR SERVICES AND RISKS

3.1 General Risk Warning

Trading or holding crypto-assets involves a **high level of risk** and may not be suitable for all investors.

Crypto-asset values are **volatile**, may fluctuate significantly in short periods, and **you may lose the entire value of your investment**.

You should ensure that you understand the risks and seek independent advice if necessary.



3.2 Specific Risks

a. Market and Liquidity Risk

Crypto-asset markets are volatile and can be affected by changes in supply and demand, market sentiment, regulatory developments, or technological factors. Liquidity may vary across tokens, leading to difficulties in executing transactions at desired prices.

b. Custody and Safekeeping Risk

Although Blockchain employs industry-standard security controls, including multi-signature wallets and cold storage, no custody system is entirely free from risks such as hacking, loss of private keys, or cyber-attack.

Client assets are **held in segregated wallets**, separate from Blockchain's proprietary assets, in compliance with MiCA Articles 75–77. In the event of insolvency, clients retain **beneficial ownership** of their assets.

c. Technology and Operational Risk

The use of blockchain and distributed ledger technologies may expose users to software vulnerabilities, system failures, and network congestion. Blockchain implements disaster-recovery and business-continuity procedures, but service interruptions are still possible.

d. Legal, Regulatory, and Tax Risk

Regulatory frameworks for crypto assets continue to evolve. Changes in law or tax treatment may affect your ability to hold, transfer, or realise value from your crypto assets.

e. Counterparty and Conflict of Interest Risk

In limited cases, Blockchain or an affiliated entity may act as a counterparty to client transactions (e.g., for liquidity provision). When this occurs, Blockchain maintains **independent oversight** and **conflict-management controls** to ensure fair treatment and transparency.

f. FX Conversion and Payment Risk

If you deposit or withdraw in fiat currency, exchange rate fluctuations and third-party payment processing risks may apply. Blockchain is not responsible for losses arising from exchange-rate movements or external payment system failures.

g. Cybersecurity and Fraud Risk

Clients are responsible for maintaining strong passwords and safeguarding account access credentials. Blockchain will never request your private keys. Phishing, social-engineering, and impersonation attacks are common in the crypto industry.



4. AML/CFT AND SANCTIONS COMPLIANCE PROGRAM

Blockchain maintains a robust **Anti-Money Laundering and Counter-Terrorist Financing (AML/CFT)** and **Sanctions Compliance Program** consistent with:

- The **Prevention of Money Laundering and Funding of Terrorism Regulations (PMLFTR – S.L. 373.01)**;
- The **Implementing Procedures – Part II (VFA and CASP Sector)**; and
- **FATF Recommendations**.

Our framework includes:

- **Customer due diligence and identification** (including beneficial ownership verification);
- **Enhanced due diligence** for high-risk clients and jurisdictions;
- **Ongoing transaction monitoring**;
- **Sanctions screening** against EU, UN, and OFAC lists; and
- **Prompt reporting** of suspicious activities to the Financial Intelligence Analysis Unit (FIAU).

An appointed **Money Laundering Reporting Officer (MLRO)** oversees compliance and training programs across all business units.

5. CLIENT ASSET PROTECTION AND SEGREGATION

Blockchain holds client crypto-assets in **segregated wallets**, separate from its operational assets, in accordance with **MiCA Articles 75–77**.

Key protections include:

- Assets are **recorded on-chain** and **reconciled daily**.
- Client assets are not used for lending, staking, or proprietary trading without explicit consent.
- In the event of insolvency, clients' assets do not form part of Blockchain's estate.
- Fiat funds (if applicable) are held in **safeguarded client accounts** with authorised credit institutions.

6. CONFLICT OF INTERESTS

Blockchain has implemented an internal **Conflicts of Interest Policy** under **MiCA Article 61**, designed to identify, prevent, and manage conflicts between the Company, its employees, and its clients.

Where conflicts cannot be avoided, Blockchain will:

- Disclose the nature of the conflict before acting; and
- Ensure that any affected transaction is executed fairly and, in the client's, best interest.

7. FEES AND CHARGES

Blockchain applies transparent, pre-disclosed fees for all services, including trading, custody, and transfer.

Fee schedules are published on our website and updated as necessary.



All fees are charged in the crypto asset used for the transaction, unless otherwise specified. Certain third-party or network fees (e.g., blockchain gas fees) may also apply.

8. COMPLAINT HANDLING

Clients may submit complaints in writing to: support@blockchain.com or online at <https://support.blockchain.com/hc/en-us/requests/new>

All complaints are handled in accordance with **MiCA Article 73** and **MFSA Conduct of Business Rules**.

We acknowledge receipt within **5 business days** and aim to provide a substantive response within **15 business days**.

If you are dissatisfied with the outcome, you may escalate the matter to the **Office of the Arbiter for Financial Services (OAFS)** in Malta.

9. COMMUNICATION AND CUSTOMER SUPPORT

Blockchain offers customer support via:

- <https://support.blockchain.com/hc/en-us/requests/new>; and
- Email assistance at support@blockchain.com

We may also contact you using the contact details provided in your account for compliance updates or service notifications.

10. MARKETING AND INFORMATION DISCLAIMER

This disclosure and any related materials are provided **for information purposes only**.

They **do not constitute investment advice**, legal advice, or a solicitation to buy or sell any crypto asset.

All marketing materials by Blockchain are clearly identified as such in accordance with **MiCA Article 76**.

11. LANGUAGE AND VERSION

This disclosure is available in multiple languages. In the event of discrepancies, the **English version shall prevail**.

The latest version is always available at <https://www.blockchain.com/en/legal/>.

Acknowledgement

By accessing or using any of Blockchain's services, you confirm that you have read, understood, and accepted this Risk and Compliance Disclosure and the associated Terms of Service.